

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-03

EUROMARKET DESIGNS, INC. v.

MSC MEDITERRANEAN SHIPPING COMPANY SA, OCEAN NETWORK EXPRESS PTE.
LTD., EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC#011982), EVERGREEN
MARINE CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK) LIMITED, ITALIA
MARITTIMA SpA, EVERGREEN MARINE (HONG KONG) LTD., EVERGREEN MARINE
(SINGAPORE) PTE. LTD., HMM COMPANY LIMITED, MAERSK A/S, CMA CGM S.A.,
APEX MARITIME CO, INC., CHINA UNITED TRANSPORT, INC., COSCO SHIPPING
LINES CO., LTD., AND WAN HAI LINES LTD.

**COMPLAINANT'S MEMORANDUM IN OPPOSITION TO
RESPONDENT COSCO SHIPPING LINES CO., LTD.'S MOTION TO SEVER**

Complainant Euromarket Designs, Inc. (“EDI”), by counsel, hereby files this memorandum in opposition to the Motion to Sever (the “Motion”) filed in this proceeding by Respondent COSCO SHIPPING LINES CO., LTD. (“COSCO”). The Presiding Officer should deny this Motion because it is baseless, as evidenced by applicable law and the fact that only two out of the eleven parties to this proceeding have filed such motions.

I. The Presiding Officer Should Deny the Motion to Sever.

Rule 12 of the Federal Maritime Commission’s (the “Commission” or the “FMC”) Rules of Practice and Procedure (the “Rules”) provides that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. COSCO seeks to invoke Rule 21 of the Federal Rules of Civil Procedure, which governs misjoinder and nonjoinder of parties and provides that “[t]he court may also sever any claim against a party.” Fed. R. Civ. P. 21. As noted by COSCO in its Motion, when analyzing whether to sever a claim or a party, courts generally consider the standards set forth in Rule 20(a) of the Federal Rules of Civil Procedure because Rule 21 itself does not set forth any particular standard for severance. *See Pan Am. World Airways v. United States District Court, C.D. Cal.*, 523 F.2d 1073, 1079 (9th Cir. 1975). Rule 20(a)(2) reads:

Persons--as well as a vessel, cargo, or other property subject to admiralty process in rem--***may be joined in one action*** as defendants if:

(A) any right to relief is asserted against them jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences; and

(B) any question of law or fact common to all defendants will arise in the action.

Fed. R. Civ. P. 20(a)(2) (emphasis added). “[T]he impulse is toward entertaining the broadest possible scope of action consistent with fairness to the parties; ***joinder of claims, parties and***

remedies is strongly encouraged”. *United Mine Workers of Am. v. Gibbs*, 383 U.S. 715, 724, (1966) (emphasis added).

A. *This proceeding involves the same series of transactions or occurrences.*

The first prong of Rule 20(a), whether the relief sought arises out of the same series of transactions or occurrences, is satisfied where “there is some connection or logical relationship between the various transactions or occurrences” including a “nucleus of operative facts or law.” *Americans for Fair Pat. Use, LLC v. Sprint Nextel Corp.*, No. 2:10-CV-237-TJW, 2011 WL 98279, at *3 (E.D. Tex. Jan. 12, 2011) (citation omitted). A “‘logical relation’ between claims exists when ‘*the same aggregate of operative facts serves as the basis of both claims.*’” *Kress Stores of Puerto Rico, Inc. v. Wal-Mart Puerto Rico, Inc.*, 121 F.4th 228, 245 (1st Cir. 2024) (quoting *Iglesias v. Mut. Life Ins. Co. of N.Y.*, 156 F.3d 237 (1st Cir. 1998)) (emphasis added); *see also id.* at 246 (“[I]t was reasonable for the district court to conclude that plaintiffs’ claims against Costco and Wal-Mart related to the same occurrence: the break-out of the COVID-19 pandemic . . .”). For that reason, “[a]lthough portions of plaintiffs’ evidence related to breach and causation may be defendant-specific, the Supreme Court has confirmed that the ‘transaction or occurrence’ standard does not require that the exact same body of evidence be used to prove all claims for joinder to be proper.” *Id.* at 246 (surveying decisions and determining that joinder of multiple defendants is generally improper only “in cases with an unusually large number of parties or without any factual overlap between the claims”).

In this proceeding, Complainant has alleged that during the COVID-19 pandemic *all* of the Service Contract Respondents engaged in an unjust and unreasonable practice of failing to satisfy their respective contractual ocean freight service commitments to Complainant in favor of carrying cargo from other shippers paying higher rates while simultaneously imposing extracontractual charges to carry what little freight that the Service Contract Respondents *did* agree to carry for

Complainant pursuant to Complainant's service contracts. Complainant also alleges that during the COVID-19 pandemic *all* Respondents engaged in unjust and unreasonable practices with respect to their assessment of detention and demurrage penalties in connection with Complainant's ocean freight cargo shipments. Indeed, Complainant's Verified Complaint (the "Complaint") notes ocean freight industry experts' comments that, during the pandemic, Respondents and other ocean carriers engaged in "concerted, coordinated, and/or parallel activity", including increased industry consolidation and concentration, such that, upon information and belief, during the pandemic ocean carriers were "able to coordinate their policies, leading to instances in which most, if not all, of the unlawful practices alleged herein were being implemented across the board, eliminating the opportunity for customers to seek viable alternative accommodations or mitigate their damages." *See* Compl. ¶¶ 62, 66. The Complaint also alleges that, as a part of their unjust and unreasonable conduct, Service Contract Respondents and other ocean carriers contemporaneously demanded extracontractual surcharges, such that shippers like Complainant had no alternative but to accept, *see* Compl. ¶¶ 68–69, and refused to compete for ocean freight volume, *see* Compl. ¶ 70. Critically, the Complaint also alleges that the unjust and unreasonable conduct by Respondents with respect to cargo space accommodations and extracontractual surcharges led Complainant and other shippers to resort to the spot market for ocean freight, the prices of which was further inflated by the alleged conduct of the Service Contract Respondents, who were *all* failing to provide contract-rate space to Complainant and other shippers with service contracts at the same time. *See* Compl. ¶¶ 71–72. With regard to detention and demurrage penalties, the Complaint alleges in detail that extreme port congestion and supply chain issues during the COVID-19 pandemic permeated the entire ocean freight industry, creating issues at ports used by many of the Respondents, including the Ports of Los Angeles and Long Beach, the

Port of Oakland, the Port of New York and New Jersey, as well as many secondary ports. *See* Compl. ¶¶ 54–61. The Complaint alleges that the detention and demurrage penalties assessed by each Respondent were unjust and unreasonable, *inter alia*, “because of circumstances outside the control of Complainant and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis.” *See* Compl. ¶ 122.

These allegations demonstrate that all of Complainant’s causes of action against the Service Contract Respondents under the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”), arise from the same nucleus of fact, because the alleged actions of each Service Contract Respondent exacerbated the situation in which Complainant had to pay more for spot-market carriage of shipments that could and should have been carried by those Service Contract Respondents at the rates that Complainant and the Service Contract Respondents had bargained for. Similarly, Complainant’s claims regarding the Respondents’ unjust and unreasonable detention and demurrage penalties all arise from industry-wide congestion and slowdowns affecting ports and entire regions where multiple Respondents have operations: a common nucleus of fact regarding the issues that plagued those ports during the relevant time period and, thus, whether the causes of the delays, and associated penalties, were outside of Complainant’s control.

The context here is key. Complainant’s actions in seeking spot-market carriage for its cargo during the relevant time period did not occur in a vacuum, but instead in the context of the alleged parallel conduct by *multiple* Respondents providing (or not providing) the same services to Complainant during the same time period. The same is true for port-related congestion and

delays, which affected Complainant's shipments with ***all*** Respondents that assessed detention and demurrage penalties. For these reasons, this prong weighs against severing.

B. This proceeding involves many overlapping issues of law and fact.

The second prong of Rule 20(a) merely requires “at least one common question of law ***or*** fact linking all claims.” *Acevedo v. Allsupis Convenience Stores, Inc.*, 600 F.3d 516, 521 (5th Cir. 2010) (emphasis added) (citing *Alexander v. Fulton County*, 207 F.3d 1303, 1323 (11th Cir. 2000)). COSCO appears to concede this point, noting in its Motion that “[u]ndoubtedly there will be some common questions of law that cut across some of the claims.” Mot. at 7 (listing similar questions of law). COSCO argues only that there are *factual distinctions* involved, but these distinctions are not relevant to this prong given the existence of overlapping factual issues as outlined above with respect to the first prong of Rule 20(a). Indeed, the significant factual overlap in Complainant's allegations weighs ***against*** severing parties or claims.

Because the Complaint alleges legally identical and factually similar claims against the Service Contract Respondents regarding shortfalls in cargo space allocation and the improper imposition of extracontractual charges during the same relevant time period, as well as against all Respondents regarding improper detention and demurrage penalties due to industry-wide congestion and supply chain issues, this prong weighs heavily against COSCO's Motion.

C. Denying the motion to sever will facilitate efficiency.

COSCO argues, baselessly, that severing the claims against it from this proceeding will be more manageable for pleadings, discovery, and trial, and to “avoid unnecessary confusion”, Mot. at 7, but provides no explanation, examples, or precedent as to how severing this case into multiple separate actions could *possibly* be more efficient. Contrary to COSCO's wholly unsupported assertion, there are significant efficiencies in proceeding against all Respondents in a single action. Complainant and Respondents will be able to (1) negotiate a joint discovery plan to minimize

duplicative discovery and consolidate testimony, where possible, (2) present consolidated discovery disputes (if any arise) to the Presiding Officer instead of filing scattershot and potentially duplicative motions raising duplicative issues, and (3) ensure that the timing of discovery and merits briefing with respect to *all* of Complainant’s claims remains consistent, in order to permit the Presiding Officer to make consistent, consolidated rulings on similar legal issues and common or similar facts, including in the Initial Decision in this proceeding.

Perhaps most telling is the fact that COSCO is one of *only two* of the eleven parties to this proceeding that has moved for a severance, suggesting that the other Respondents, like Complainant, believe that this case can and should proceed as filed in an expedient and efficient manner. Despite the fact that COSCO is one of only two parties seeking severance, the Motion nonetheless asks the Presiding Officer to sever *all* of the cases such that they *each* proceed individually, unilaterally demanding an extreme action that would ultimately harm *all* parties and unduly strain the Commission’s judicial resources by forcing it to adjudicate ten separate litigations—all with substantially identical legal issues and significantly overlapping facts—in a piecemeal and potentially inconsistent fashion.

D. No prejudice will result from denying the motion to sever.

COSCO’s false cry that it will be “prejudiced in time and cost by having to read and respond to claims that are wholly unrelated to whatever claims Complainant has against each” to the claims against it falls flat. Mot. at 7. The entirety of COSCO’s argument on this point relates to having to answer allegations in the complaint that it contends are unrelated to COSCO, but the remedy to that issue is simple and does not require severance: COSCO can simply deny those allegations that it contends are outside of its knowledge.

COSCO’s next arguments—that it will be prejudiced by having to coordinate a discovery schedule with other parties—lacks merit, and actually reinforces the *efficiency* of a joint discovery

process. Such a process will allow *all* parties to follow a joint plan and will encourage *all* parties to streamline discovery to maximize efficiency and meet the deadlines to be set by the Presiding Officer in this proceeding.

COSCO's claim that requiring Complainant to proceed separately against each carrier is "standard practice" is misleading. Mot. at 8. The Commission has broad discretion to determine the appropriate procedural structure for complex cases, and consolidating related claims ensures consistent rulings on common factual and legal issues. Proceeding separately against each carrier would multiply the number of filings, depositions, and hearings, leading to unnecessary inefficiencies and a waste of both the Commission's and the parties' resources—resulting in far greater administrative burdens for all involved, including the Commission.

COSCO also argues that prejudice will result from inefficiencies caused by consolidated deposition testimony, but the opposite is true. COSCO argues that each named Respondent would need to sit in on all depositions, but that would be no less true if the Presiding Officer were to sever the claims in this proceeding into ten separate actions. Severance would not operate to lessen any burden on (or any prejudice to) COSCO but instead would simply multiply the burden on Complainant—and, more specifically, Complainant's logistics employees—tenfold. The Motion thus can be viewed as an attempt to punish Complainant procedurally for bringing its Shipping Act claims, baselessly multiplying what otherwise can and should be an efficient proceeding, forcing each potential deponent from Complainant to sit for up to ten separate depositions, instead of consolidating and streamlining testimony about the same issues during the same relevant time period. Here again, the fact that only one other Respondent has requested severance from this proceeding underscores the baselessness of COSCO's claims regarding additional costs due to the presence of multiple Respondents.

E. Many of Complainant's claims are subject to common witnesses and proof.

COSCO also claims that “there would not be one bit of evidence overlapping from one claim to another.”, Mot. at 8, but this flatly ignores that issues regarding port congestion, global supply chain issues, and Complainant’s own internal actions and determinations regarding product purchasing, bookings, allocation, supply chain management, and the use of spot market freight and/or third-party vendors will all have significant factual overlap and in many instances involve the very same documents and the very same witnesses, even if individual claims tied to specific port pairs or shipments ultimately relate to fewer than all Respondents.

F. The small claims process is an elective, not a mandatory, proceeding.

COSCO’s assertion that this case is a “good fit” for the Commission’s streamlined small claims process under 46 C.F.R. §§ 502.301-502.305 is both irrelevant and without legal basis. Mot. at 3. Nothing in the Commission’s regulations or precedent compels a complainant to pursue the small claims process, nor does the existence of that process provide any basis for severing or dismissing a claim properly brought before the Presiding Officer. *See* 46 C.F.R. § 502.311.

The FMC’s small claims process is an *alternative* mechanism available at the complainant’s discretion; it is not a jurisdictional requirement nor an exclusive remedy. Indeed, 46 C.F.R. Section 502.301(b) requires “the consent of **both** parties” in order to proceed before a Small Claims Officer (emphasis added). Underscoring this point, the very first words on the Commission’s website explaining the small claims process, *see* <https://www.fmc.gov/filing-a-small-claims-complaint/>, makes clear that a “small claim **may** be filed,” emphasizing that this process is permissive, not mandatory (emphasis added). *See* 46 C.F.R. §§ 502.301-502.305, 502.311-502.321. COSCO’s attempt to frame this alternative process as the appropriate forum is a mischaracterization of the Commission’s procedural framework. The existence of an alternative forum does not justify severance, and the mere fact that the claim against COSCO is relatively

small in monetary terms does not alter its legal and factual connection to the broader context of this proceeding.

Dated: March 6, 2025

Respectfully submitted,

/s/ Heewan Noh

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon the Respondents that have appeared thus far in this proceeding by emailing copies of that document to their counsel of record listed below:

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